

CUSTOMER SERVICE Pocketbook

3rd Edition

A pocketful of tools, tips and techniques for everyone who contributes, directly or indirectly, to ensuring that the customer comes first

Sean McManus
& Tony Newby



THE CUSTOMER SERVICE POCKETBOOK

By Tony Newby & Sean McManus

Drawings by Phil Hailstone

Comments on the 1st edition

"Down to earth practical guide ... what I would expect from your work with us on Customer Service. It removes a lot of the mystique and concentrates on the real issues."

Mr. L.J.G. Purdie, Chief Pensions Manager, Scottish Widows.

Comments on the 2nd edition

"We will certainly continue to use the pocketbook with all our new starters. It really helps to make people realise that everyone has customers, and that internal customers are also important."

Carolyn Whitesmith, Training Controller, Avon Insurance plc.



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CONTENTS



WHY CUSTOMER SERVICE MATTERS 1

Fulfilling personal and organisational needs, the importance of how you do things, customers buy experiences, repeat business, the lifetime value of customers, the silent complainer, the company ambassador



WHAT'S DIFFERENT ABOUT GOOD SERVICE? 13

Putting customers first, what you need, quality, attention to detail, delivering great service, case studies, taking responsibility, remembering good and bad service



EFFECTIVE CUSTOMER COMMUNICATIONS 27

Communications you depend on, good communication, listening skills, written communication, the Readability Index, how technology helps, when technology fails, using e-mail



TURNING COMPLAINTS INTO OPPORTUNITIES 55

Benefits of complaints, customer needs, common causes of complaints, handling complaints, dealing with angry customers



EMPOWERING GREAT CUSTOMER SERVICE 67

Everyone plays a role, corporate culture, internal customers, when the internal customer chain weakens, strengthening the internal customer chain, passing on work



MEASURING CUSTOMER SERVICE 81

Setting standards, using internal indicators, customer satisfaction, mystery shopper programmes, rewarding team members, case study



PERSONAL ACTION PLANNING 91

The pay-off, reviewing the lessons, overcoming obstacles



APPENDIX: NOTES FOR TRAINERS 95

RECOMMENDED FURTHER READING



Customer is King!



WHY CUSTOMER SERVICE MATTERS

WHY CUSTOMER SERVICE MATTERS

CUSTOMER CONTACT



Customer service matters because **everybody** in **every** organisation:

- Either helps customers **directly**
- Or helps colleagues (**internal customers**) who serve the paying customer

This book is for people who work in:

- Commercial companies supplying goods or services
- Public sector utilities
- Central and local government departments
- Voluntary organisations

... because they **all** have customers.

WHY CUSTOMER SERVICE MATTERS

YOUR PERSONAL NEEDS



The benefits to you personally of delivering good customer service to your colleagues and external customers are:

- You'll get more satisfaction at work, knowing that others enjoy dealing with you and respect you and your work
- Others will be friendly towards you, and will be more understanding of occasional problems and willing to help
- You'll have less re-work if you get it right first time
- So you'll waste less time *fire-fighting* problems
- And will have more control of your time and workload



WHY CUSTOMER SERVICE MATTERS

ORGANISATION NEEDS



Businesses and non-profit organisations need:

- **Sustainable competitive advantage:** rival businesses might easily match your prices or products, but will find it harder to infuse the business with an outstanding customer service ethic
- **To be profitable:** good customer service frees the company from the downward spiral of competing on price because people will pay more for great service
- **A productive, stress-free work environment:** great customer service means happier customers, happier team members and less conflict at work
- **Cost-efficiency:** satisfying customers first time means less money is wasted taking complaints and correcting mistakes – particularly important in public sector organisations where there is no obvious profit to track, but there can be a lot of hidden wastage
- **A good reputation:** important for attracting future customers and investors, and essential for the credibility of non-profit organisations

WHY CUSTOMER SERVICE MATTERS

THE IMPORTANCE OF *HOW*



Today **how** you deliver your products and services is as important as **what** they are.

Competing goods and services don't differ greatly from each other, so customers will choose where to shop based on the service they get.

Before they consider spending any money, customers will already know whether they trust you and like you. They will have judged what you look like, what you sound like and how responsive you are. They will have seen how you treat other customers.

Often customers can only judge quality based on the service they get. How can a patient judge a doctor's competence, or a litigant assess the skills of their legal counsel? How can a novice tell whether a computer is right for them? They all depend on a service that inspires confidence and shows attention to their needs.

WHY CUSTOMER SERVICE MATTERS

THE IMPORTANCE OF *HOW* CUSTOMERS BUY EXPERIENCES

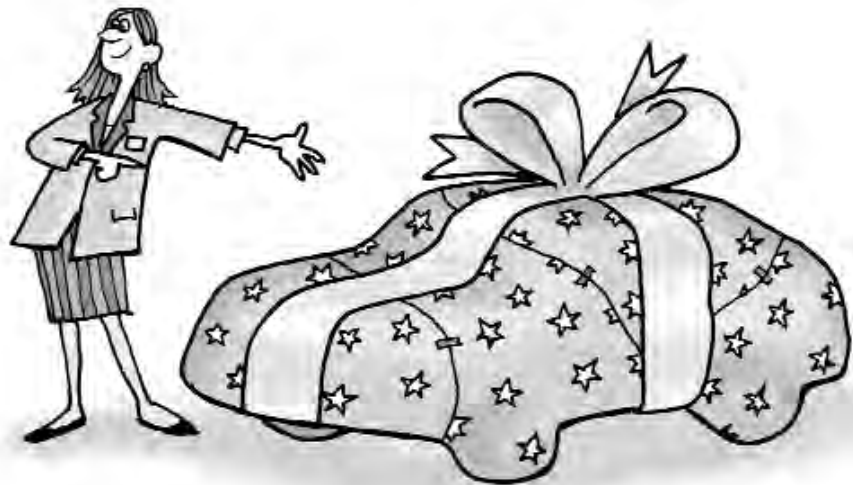


Customers buy an experience that starts when they enter your store, place their first call or visit your website.

They might enjoy browsing your shelves or appreciate the advice of your sales team on what they might like. If they're buying a present, they'll be delighted if you offer to wrap it for them. If they buy a computer, they might value your after-sales service helping them to get it working.

Some customers will buy books online for the experience of reading reviews from other readers; others will prefer the experience of turning the pages in a bookstore.

Everything you do for or to customers is part of the experience they buy, and part of how you differentiate your business.



WHY CUSTOMER SERVICE MATTERS

CUSTOMER EXPECTATIONS



Customers have expectations that are:

- Often set by other suppliers, eg: banks, airlines, fast food outlets, etc. You are competing with the most responsive companies in every communication channel you use.
- Continually evolving and growing more demanding. You can never sit back complacently.

Your standards of customer service always need to be on an upward curve. Aim to delight customers with every contact by exceeding their expectations.



WHY CUSTOMER SERVICE MATTERS

REPEAT BUSINESS



If your customer service is merely adequate, then it is probably invisible to customers.

Only **excellent** service gets noticed!

Repeat business is the life-blood of most businesses:

- Are your customers delighted with your service and do they want to come back to you?
- OR
- Can they be easily enticed by a competitor that makes an extra effort to satisfy them?



WHY CUSTOMER SERVICE MATTERS



LIFE-TIME VALUE OF CUSTOMERS

EXERCISE



What is a customer worth to your business over their lifetime? It is easy to calculate – and the results can be startling.

1. How often does a typical customer buy the kind of goods or services that your company sells? (Count every purchase, including those from your competitors.)
.....
2. In a typical lifetime, from say age 26 to 65, how many purchases does that add up to?
.....
3. What is the average (approximate) profit on each sale (at today's prices)?
.....
4. Multiply the number of purchases shown in (2) by the profit margin of each sale shown in (3) to arrive at the total lifetime value to the business of an average customer (at today's prices):
.....

If they're that valuable, how much can the business afford to invest to win each customer?
The cost of making extra effort to help customers is always justified.

If you lose a customer, you give your competitors a gift: income from that customer for life.

WHY CUSTOMER SERVICE MATTERS

THE *SILENT* COMPLAINER



Most dissatisfied customers don't tell you:

- They tell their friends
- They add embellishments
- It turns into a real horror story – you may even attract hostile press publicity!



WHY CUSTOMER SERVICE MATTERS

THE COMPANY AMBASSADOR



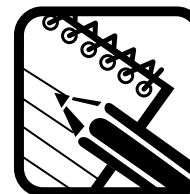
If you delight customers, they will:

- Recommend you to their friends
- Be loyal to you

Unprompted recommendations from satisfied customers are the most credible promotion you can have.



NOTES





WHAT'S DIFFERENT ABOUT
GOOD SERVICE?

WHAT'S DIFFERENT ABOUT GOOD SERVICE?

PUTTING CUSTOMERS FIRST



Good customer service is about:

- Treating customers with respect and thinking of them as people the organisation might be able to help with its products and services, rather than just 'punters to be sold stuff'
- Learning what each customer needs, and helping to find products or services to satisfy those needs
- Being supportive and offering help after the sale, and not rejecting requests for help once the money's in the till
- Making customers happy with what they buy, and how they're sold it, and making them want to return
- Developing lifetime relationships with customers, and not just trying to make a quick sale
- Putting the customer's needs first

WHAT'S DIFFERENT ABOUT GOOD SERVICE?

WHAT YOU NEED



To deliver good customer service, you will need:

- A thorough knowledge of the products or services you supply and the needs of external customers. Only then can you match customers with products or services that will satisfy their needs.
- A thorough knowledge of the systems and procedures of your organisation and the network of internal customers with whom you work. Your customers want to work with a single, harmonious company and you will be responsible for helping them get results from it or for finding the right people to help them.
- Communication skills. You'll need to learn what customers need by listening to them, and you'll need to make sure that customers understand everything you say so they don't have any uncomfortable surprises later.

WHAT'S DIFFERENT ABOUT GOOD SERVICE?

WHAT YOU NEED



To deliver good customer service, you will need:

- A positive attitude: dedication to getting it right first time, and commitment to helping colleagues to help their customers
- Attention to detail
- A willingness to take responsibility
- The confidence to stay calm under pressure



WHAT'S DIFFERENT ABOUT GOOD SERVICE?

QUALITY



Good customer service is not a smile campaign! It is about:

- The quality of **what** you deliver
- AND
- The quality of **how** you deliver it

Quality isn't about *goodness*, it's about meeting customer needs and expectations.



WHAT'S DIFFERENT ABOUT GOOD SERVICE?

ATTENTION TO DETAIL



Everybody has to work at customer service to get it right:

BUT

Most of the improvements needed to achieve excellent customer service require very small changes in the way we work from day to day, not mega-projects to change the universe.

Good customer service is the product of close attention to important small details.

For example:

- A shop assistant who remembers your favourite magazine and tells you when a new issue comes out
- A colleague who remembers your timetable and avoids interrupting you when you're on a deadline
- An unprompted phone call to check that the customer's happy

WHAT'S DIFFERENT ABOUT GOOD SERVICE?

DELIVERING GREAT SERVICE



Anything less than **great** service won't be noticed by customers. If they are indifferent towards your service, your competitors will easily poach them.

It's easy to think of ways to delight customers, but the important thing is that your surprises meet their needs. Customer service is sometimes called *customer care* because it's about looking after the customers, and not just using gimmicks to impress them. For example:

- If a customer buys an expensive and cumbersome table, will they be more impressed if they're given a 5% discount to show the company's appreciation for their business or if the sales team spend half an hour helping them to get it into their car? The cost to the company might be the same, but the impact on the customer will be very different.
- If a shop doesn't stock something the customer needs, it will still leave an impression of the quality of the service. Imagine how pleased customers would feel if the shop recommended another company to help them. The shop has helped create a future buyer by offering great service to a browser. Remember, the shop couldn't have made the sale and the customer had to go to a competitor.

How can you delight your customers?

WHAT'S DIFFERENT ABOUT GOOD SERVICE?

DELIVERING GREAT SERVICE

CASE STUDIES

The WOW! Awards (www.thewowawards.com) recognise exceptional customer service. The awards are all nominated by customers who were impressed by how they were treated. Sometimes it's the small things that make a big difference to how customers feel about your business. Here are some examples of previous winners:

- Guellers Restaurant in Leeds keeps several pairs of standard prescription glasses behind the counter for customers who have trouble reading the menu
- Scottish hi-fi retailer Robert Ritchie lets customers borrow expensive audio equipment so they can try it in their homes before they buy it
- UK Accountancy practice Tom Carroll Associates keeps umbrellas so the team can escort customers to their cars when it's raining



WHAT'S DIFFERENT ABOUT GOOD SERVICE?

TAKING RESPONSIBILITY



An organisation might employ thousands of people, but the customer just needs one person to take responsibility for helping them and representing the organisation. That person is you.

- Be prepared to apologise on behalf of the company if mistakes have been made.
- Introduce yourself by name on the phone, or wear a name badge so customers know you're accountable.
- Help customers to navigate your organisation. Introduce them to the right person who can help, or show them to the shelves where the products they need are kept.
- Offer to follow-up personally. Give your name and number. Customers want consistency in their dealings with the company, and prefer not to explain their situation again to someone new.
- Tell customers what you're doing. Give them confidence that any delays they suffer are because you're trying to help them.

WHAT'S DIFFERENT ABOUT GOOD SERVICE?



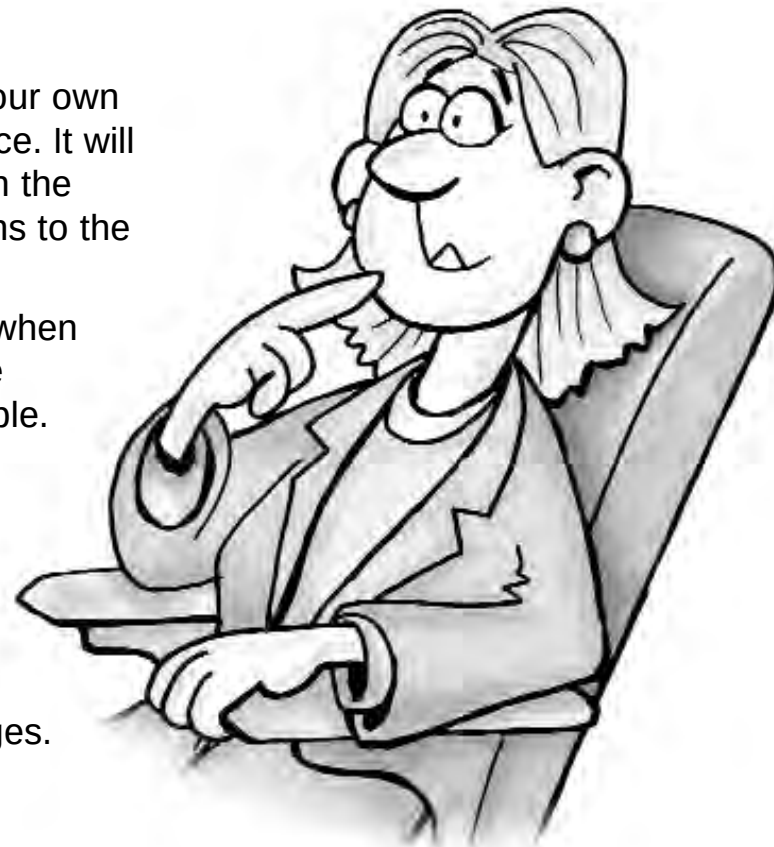
EXERCISE



Here is a short exercise for you to draw on your own experiences of good and bad customer service. It will help you to understand what it is like to be on the receiving end – and you can adapt the lessons to the service you yourself provide in your own job.

Think of one occasion in the last six months when you have received excellent customer service and one occasion when the service was terrible. Neither example should have anything to do with your employer. Remember what happened: what was said, the tone of voice used, and the good or bad actions that were carried out.

Complete the *excellent experience* and *poor experience* reviews on the following pages.



WHAT'S DIFFERENT ABOUT GOOD SERVICE?



EXERCISE



Your experience of *excellent* customer service:

1. The company or organisation you were dealing with?

.....

2. How were you greeted?

(eg: by name, warmly, politely, aggressively, with indifference, etc)

.....

3. How promptly were you attended to?

(eg: immediately, after the assistant had finished chatting, when the queue went, etc)

.....

4. How do you think you were regarded by the person serving you?

(eg: as a valued customer, as a punter to be sold anything, as a nuisance, etc)

.....

5. What effect (if any) did the way you were served have on how you felt?

(eg: pleased, valued, annoyed, frustrated, powerless, happy, angry, etc)

.....

WHAT'S DIFFERENT ABOUT GOOD SERVICE?



EXERCISE



Your experience of *excellent* customer service:

6. Did the service meet your expectations?
(eg: yes, they were far exceeded, no – I felt disappointed)

.....

7. Has that experience affected your subsequent dealings with that company or organisation?
(eg: Will you go back? Have you told anyone about the experience?)

.....

8. Name three companies that have a good reputation:

.....

9. What gives a company a good name?

.....

WHAT'S DIFFERENT ABOUT GOOD SERVICE?



EXERCISE



Your experience of *poor* customer service:

1. The company or organisation you were dealing with?

.....

2. How were you greeted?

(eg: *by name, warmly, politely, aggressively, with indifference, etc*)

.....

3. How promptly were you attended to?

(eg: *immediately, after the assistant had finished chatting, when the queue went, etc*)

.....

4. How do you think you were regarded by the person serving you?

(eg: *as a valued customer, as a punter to be sold anything, as a nuisance, etc*)

.....

5. What effect (if any) did the way you were served have on how you felt?

(eg: *pleased, valued, annoyed, frustrated, powerless, happy, angry, etc*)

.....

WHAT'S DIFFERENT ABOUT GOOD SERVICE?



EXERCISE



Your experience of *poor* customer service:

6. Did the service meet your expectations?
(eg: yes, they were far exceeded, no – I felt disappointed)

.....

7. Has that experience affected your subsequent dealings with that company or organisation?
(eg: Will you go back? Have you told anyone about the experience?)

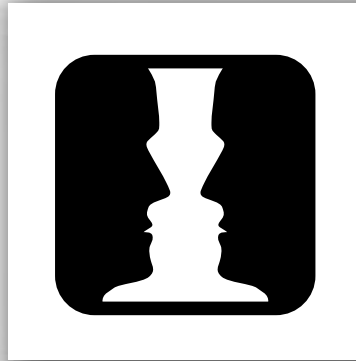
.....

8. Name three companies that have a poor reputation:

.....

9. What gives a company a bad name?

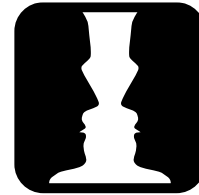
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EFFECTIVE CUSTOMER COMMUNICATIONS

EFFECTIVE CUSTOMER COMMUNICATIONS

YOUR COMMUNICATIONS



Think of the communications that you depend on to do your job well and efficiently. They might include:

- E-mails from customers or colleagues
- Invoices or order forms
- Meetings with colleagues or customers
- Phone conversations you have with suppliers or colleagues
- Telephone messages you pass on, or that others take for you
- Internal memos
- Reports from one department to another

What happens if they are late, or they're difficult to use or understand? How much more efficient is it to get everything right first time?

Consider how your colleagues and customers depend on your communications to do their jobs easily.

EFFECTIVE CUSTOMER COMMUNICATIONS

GOOD COMMUNICATION



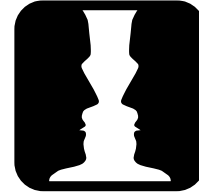
Good communication, whether by e-mail, phone or face-to-face, is a two-way process. You'll need to demonstrate understanding of what the customer tells you, and you'll be looking for clues that the customer has understood what you've said as well.

Good communication is:

- **Appropriate to the medium.** If you need to discuss a lengthy report, e-mail might be best so that you can insert comments in the report. If you need to discuss something which customers feel strongly about, it's better to arrange to meet them or to speak to them. Don't get locked into using one communication channel if it is no longer the best way to deal with a particular enquiry.
- **Appropriate to the customer's level of knowledge.** Don't use abbreviations or jargon they don't understand, or waste their time explaining in great detail what they already know.

EFFECTIVE CUSTOMER COMMUNICATIONS

GOOD COMMUNICATION



Good communication is:

- **Clear and concise.** Don't be blunt, but do get to the point when you're talking, and do delete anything that doesn't clarify your message when you're writing.
- **Friendly.** Be approachable and interested in customers and use their name when you know it. Retailers often see customers' names when they pay by credit card, and in business-to-business trade it's increasingly common to use first names when dealing with people.
- **Convenient for both parties.** Before starting a lengthy conversation, check whether the other person has time for it, or ask to schedule time. Don't let the communication suffer because one person needs to hurry it.

To communicate well, you'll need to develop listening skills and writing skills.

EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS

1. 80:20 RATIO

Effective listening means not talking:

- They talk, you listen – the ratio should be 80:20 or even 90:10
- You don't interrupt (unless they are way off the subject, or you can't understand what they are saying)
- You pay attention to what they are saying, rather than sitting there pretending to listen while you plan what you'll say next
- You make written notes of key points



EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS

2. CHECK UNDERSTANDING

Check that you have understood what has been said:

- Ask questions to clarify anything you are unsure about
- From time to time give a reflective summary, which briefly paraphrases what the other person has been saying; that way you both know that you are on common ground
- Don't *tune out* the things that you might be less pleased to hear

EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS

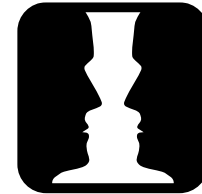
3. DEMONSTRATE LISTENING

Demonstrate that you are listening, by means of your:

- Eye contact – maintain frequent contact, without giving the impression of a fixed stare
- Body language – be comfortable, not stiff; open rather than with defensively-crossed arms; lean slightly towards the person, without threatening their sense of personal *territory*
- Interested tone of voice – whatever the words you use, if you don't mean what you say, your tone will give away to the other person that you are not sincere

If you are genuinely interested in helping customers, the body language will flow naturally.

EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS

4. BUILD RELATIONSHIPS

Build the relationship with the other person:

- Give them space to let off steam if they need to, before you move into a problem-solving mode
- Show that you can see things from their point of view
- Focus upon positive action for the future, rather than raking over history
- Include them as contributors to your planned actions – 'We can sort this out together...'



EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS

5. DIAGNOSTIC LISTENING

Treat listening as a diagnostic process:

- Where errors have occurred, resist the urge to argue, to defend or to excuse
- Admit mistakes and apologise sincerely, even if you personally had nothing to do with causing the problem – as far as a customer is concerned, you are the representative of everybody in the organisation
- Even if the request or the problem sounds familiar, don't jump to conclusions until you have gathered all the facts
- Look for solutions, not obstacles – the *can do's* which impress customers hardened by a lifetime of delays and evasions from other organisations

EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS



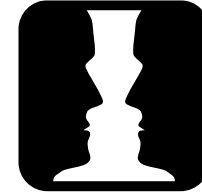
EXERCISE

This exercise is fun to do and might challenge your view of yourself as a good listener. Get together with two people, so that each person can test how well he or she listens and learn from that experience. Each of you will in turn take the role of Speaker, Listener and Observer. First, decide the order you want to go in.

Each of you must think of a topic about which you have strong views. The topic must have nothing to do with the organisation you work in, nor should it be chosen for its potential to offend. Choose something everybody can talk about, based on general knowledge. An example might be 'I believe all cars should be banned to protect the environment'. Whatever you select, it is important that you hold a firm viewpoint.

At the start of each of the three sessions, the person who has the role of Listener will tell the Speaker what the Listener's choice of topic is and the direction in which his or her beliefs lie.

EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS



EXERCISE

The Speaker then argues (maximum five minutes) the case against that point of view. The Speaker's task is to argue convincingly (not abusively) against the Listener's viewpoint, presenting the benefits of an alternative position and/or demolishing the position that the Listener would normally adopt.

The task of the Listener is to listen accurately (using the rules outlined in the preceding pages – summarised overleaf in an observation checklist) and, at the end of the five minutes, to summarise the arguments that the Speaker has presented.

The task of the Observer is to give feedback to the Listener on how well the rules of good listening have been demonstrated and on how accurate the summary has been. The Observer does not need to give any feedback on the Speaker's performance.

After each of the three rounds, the group can usefully take a couple of minutes to briefly discuss the experience – in particular, the way that a viewpoint you do not like may obstruct your ability to listen accurately. This filtering out of unwelcome information is, unfortunately, the reason that so many customer complaints degenerate into horror stories.

EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS



EXERCISE: OBSERVER'S CHECKLIST

BEHAVIOUR TO BE NOTED	DOES IT HAPPEN?	OBSERVER'S COMMENTS
1. Listens:		
● 80:20 ratio S : L		
● L does not interrupt		
● Brings straying S back onto subject		
● Makes notes		
2. Checks understanding:		
● Asks clarifying questions		
● Gives reflective summaries		
● Hears <i>uncomfortable</i> things		
3. Demonstrates listening:		
● Eye contact		
● Body posture		
● Tone of voice		

EFFECTIVE CUSTOMER COMMUNICATIONS



LISTENING SKILLS



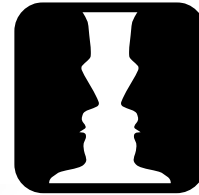
EXERCISE: OBSERVER'S CHECKLIST

BEHAVIOUR TO BE NOTED	DOES IT HAPPEN?	OBSERVER'S COMMENTS
4. Builds relationship:		
● Allows S to let off steam		
● Shows can see things from S 's point of view		
● Uses S 's name		
● Focuses on action for the future		
5. Diagnostic listening:		
● Avoids arguing, defending or excusing		
● Admits mistakes and apologises		
● Doesn't jump to conclusions		
● Looks for solutions, not obstacles		

(S = Speaker; L = Listener)

EFFECTIVE CUSTOMER COMMUNICATIONS

WRITTEN COMMUNICATION



There are four main elements to written communication:

1. **Purpose** – what you are aiming to achieve by writing
2. **Content** – what the substance of your message consists of
3. **Presentation** – the way in which the communication is laid out
4. **Style** – the manner in which you express yourself



EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION

1. PURPOSE

We write to or e-mail other people in order to:

- Give them information they need
- Ask them for information we need
- Make recommendations or suggestions (to persuade)
- Request action by the other person

Sometimes, only one of these purposes applies; other times a single letter or memo may cover several purposes. When you reflect on your purpose in making the communication you can begin to think about the best way to express what you want (through the tone you adopt, the choice of words, and so on).

EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION

2. CONTENT

Before you write something, make a quick list of the key points:

- Decide what is essential and what is irrelevant – and leave out the inessentials!
- Decide the order in which the points should be made
- Identify anything that needs particular emphasis or more detailed explanation

Summarise at the start of your message why you're writing and at the end of the message what you expect the reader to do.

The most powerful communications are those that cover a single subject. Readers often forget one of the points in a letter that rambles on and on, but would remember each letter they received that related to a different subject. If you have a lot of diverse content you need to share, consider whether it should be several different letters or e-mails, or whether you can structure the document with sub-headings to make it clear where each idea begins and ends.

EFFECTIVE CUSTOMER COMMUNICATIONS



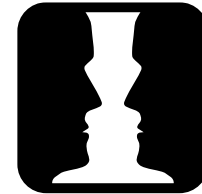
WRITTEN COMMUNICATION

3. PRESENTATION

Good presentation will enhance your content by making it easy for readers to navigate and understand. Here are some tips:

- Give the document a heading so that the subject is immediately clear
- Use sub-headings where appropriate to group related paragraphs and make it easy for readers to skim-read the main ideas and quickly get an overview of the document
- Space your writing evenly over the available space – don't squash a short text up at the top of the page, leaving lots of blank paper
- Use diagrams or pictures if they will make your message clearer – but don't use clipart just because you can; it's distracting and wastes time
- Use a new paragraph for each idea – paragraphs can have several sentences, all related to the same idea
- If the reader will be asked to comment or act upon various points, it is often helpful to number the paragraphs
- Be consistent in your presentation – pick perhaps three heading text styles and two colours, and use them all the time (too many variations make your work look chaotic)
- Check any spelling you're unsure about – don't depend on automatic spellcheckers

EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION

4. STYLE

Different people and organisations disagree about what is *good* style. Treat the following guidelines as general principles:

- Be consistent: wherever you have a choice (such as with how dates are written or with optional spellings) use one style all the time
- Plain English is better than a *flowery* or *literary* style
- Do not use technical jargon and in-house abbreviations that the reader is unlikely to understand; if a technical word has to be used and it might not be understood, give a short explanation of the word the first time you use it
- Use simple words and short sentences; avoid long, complicated sentences with lots of subsidiary clauses



EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION

4. STYLE

Guidelines continued:

- Get quickly to the point of what you want to say (without being blunt about it because this might seem rude)
- Don't be brief at the expense of the reader's understanding; if something needs explaining, do so fully but don't ramble on
- Avoid ambiguity by using correct grammar, but don't be a slave to obsolete rules that make your writing look old-fashioned
- Don't repeat unusual words too often; use common synonyms to liven up your text, but don't let them take over and make your text appear contrived

EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION



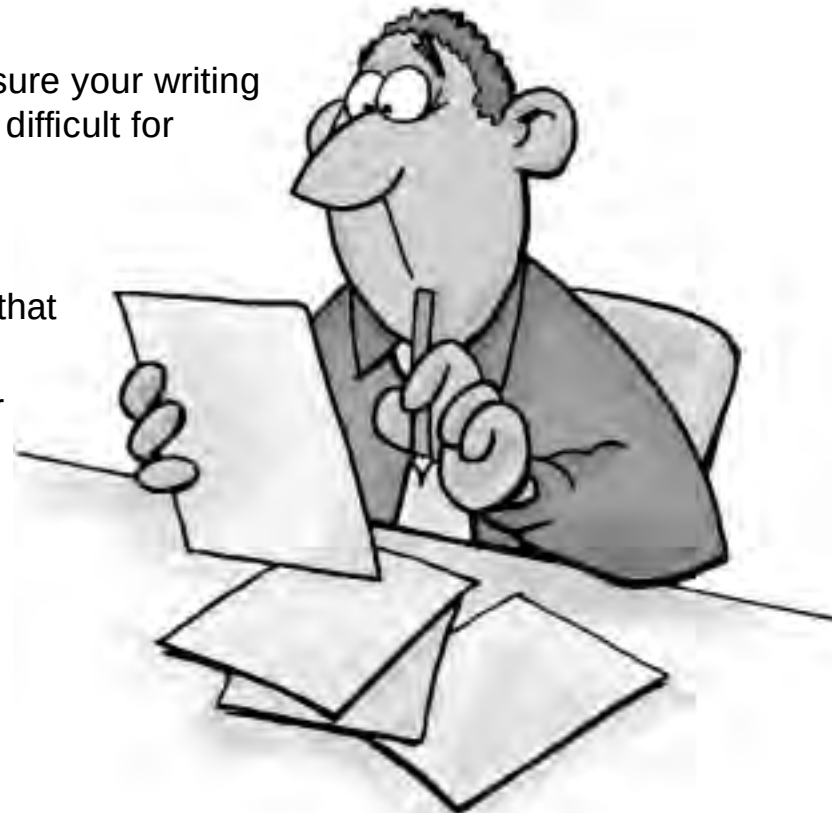
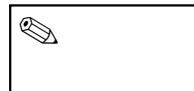
EXERCISE: THE READABILITY INDEX

The Readability Index enables you to measure your writing style to see whether you may be making it difficult for your readers to understand you:

First stage: length of sentences

1. Find something that you have written that contains at least 200 words
2. Excluding commas, count the number of punctuation marks (. : ; ? !)
3. Divide the number of punctuation marks into the number of words to give an average sentence length.

Note that here:



EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION

EXERCISE: THE READABILITY INDEX



Second stage: long words

4. Underline all words in your sample that have three or more syllables and add up the total number of these words. Enter it here:



5. Calculate the percentage of long words in your sample.
The formula is:

$$\frac{\text{No. of long words}}{\text{No. of words in sample}} \times 100 = \text{..... \%}$$

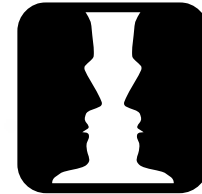
Third stage: calculating the index

6. Take the average sentence length (para 3) and the percentage of long words (para 5) and add them together. This total is your Readability Index.

Note it here:



EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION

EXERCISE: THE READABILITY INDEX

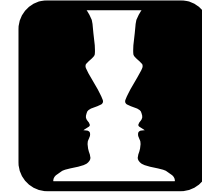


How did you score?

- 15-18 This style is terse, but can be acceptable in memos and file notes.
- Under 20 This indicates that you use very short sentences and simple words and it may indicate that your style is a bit too abrupt, rather like a telegram.
- 20-25 Ideal for letters.
- 25-30 Ideal for reports.



EFFECTIVE CUSTOMER COMMUNICATIONS



WRITTEN COMMUNICATION



EXERCISE: THE READABILITY INDEX

How did you score? (continued)

- About 30 This is typical of everyday conversation and this provides a benchmark that you should aim to improve upon in your writing. (This does not mean you should write just as you speak – conversation is notoriously ungrammatical – but simply that you should aim for a level of written understanding a bit better than that which normal conversation achieves.)
- 30-40 Technical and specialised documents are likely to be in this range.
- Over 40 You appear to be padding out your sentences with long words and complicated sentence structures. You may be waffling rather than getting to the point. Readers are more likely to have trouble understanding what you are trying to say to them.

EFFECTIVE CUSTOMER COMMUNICATIONS



NEW TECHNOLOGY

HOW TECHNOLOGY HELPS

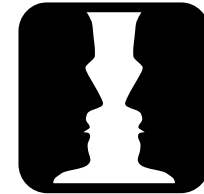
Technology makes it possible for you to improve how you communicate with customers. For example:

- If you have a service interruption, you can cost-effectively e-mail customers to warn them and notify them when the problem is resolved.
- You can use telephone call management systems to help customers find someone who is in the best position to help them.
- You can use autoresponder programs to automatically confirm to the sender that an e-mail has been received and tell them when they can expect a reply.
- You can use a database to keep a record of each customer's enquiries across all the channels used to contact you. Customers want to receive consistent service however they get in touch, and want to know that your organisation *remembers* what they've said before.
- You can have products, or even just documentation, tailored to the customer's requirements. There's no excuse for impersonal service when even mass-mailed letters can make reference to the customer's name, volume of business with you, preferred product lines and so on.

EFFECTIVE CUSTOMER COMMUNICATIONS

NEW TECHNOLOGY

WHEN TECHNOLOGY HINDERS



But customers will get frustrated if:

- They are bombarded with irrelevant e-mail, and can't reply to your messages.
- They can't navigate your call management system, they get disconnected after working through the menus because nobody is available, or they can't find a real person to speak to.
- They don't receive a proper reply to their e-mails, just an automated *thank-you* note.
- Complaints are registered in the database, but are never followed up.
- Information you hold about customers is sold to other companies, or made available for junk-mailing them. As technology makes it easier to aggregate data on people, they're becoming more concerned about their privacy.



EFFECTIVE CUSTOMER COMMUNICATIONS



NEW TECHNOLOGY

USING E-MAIL

- Think before you hit send! E-mail has speeded up written communication, but sometimes it's better to take time to formulate a more careful response.
- Use the technology to personalise your bulk communications – not just your greetings, but what you send to each person.
- Don't send junk e-mail to promote your business. People pay for their e-mail in time and money and resent having it abused by advertisers. Create something of value to the customer (such as a newsletter) so they will choose to receive it.
- Don't use e-mail when a quick phone call or meeting would be better.
- Cool off before responding to e-mail that makes you angry. Misunderstandings can arise because e-mail is written conversationally, but has no indication of mood. Clarify what the sender intended before you reply.

EFFECTIVE CUSTOMER COMMUNICATIONS

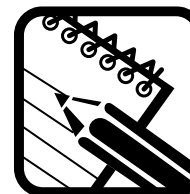


NEW TECHNOLOGY

USING E-MAIL

- Use the subject line of the e-mail to say what it's about and to track discussions that span several e-mails. Pick an e-mail subject that will be unique to you and the recipient. Don't just have subjects like *Meeting*.
- Avoid sending attachments or using formatting (such as colours or bold or italic) unless you're sure the recipient's computer software can read them.
- Respond to customer e-mails promptly. Automatic responders that are issued as soon as an e-mail arrives can reassure customers that their message has arrived and can tell them when to expect a reply (especially if you're out of the office) but they don't excuse not following up personally.
- If you have to forward an e-mail to someone else to respond to, tell the originator what you're doing, perhaps by copying them on the forwarded message.

NOTES





TURNING COMPLAINTS INTO OPPORTUNITIES

TURNING COMPLAINTS INTO OPPORTUNITIES

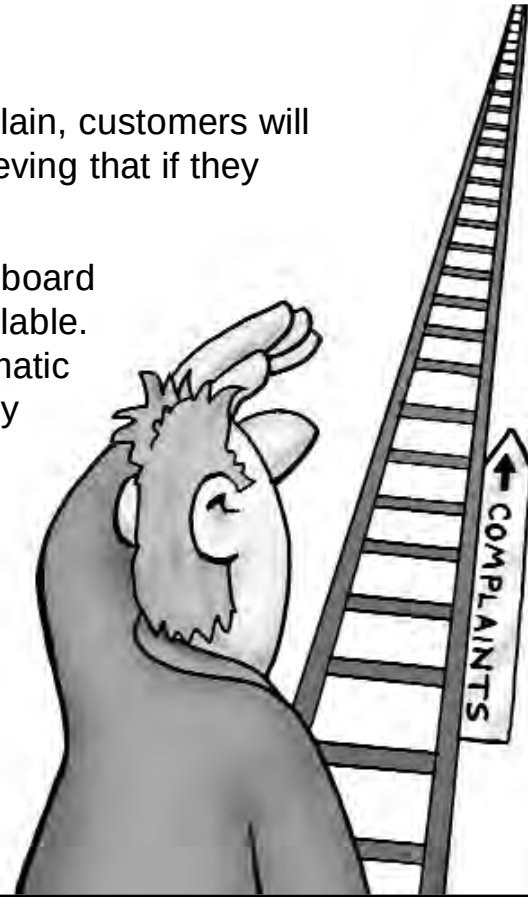
HEAD IN THE SAND



Some companies believe that if they make it hard to complain, customers will give up trying. They're burying their head in the sand, believing that if they can't see *trouble*, *trouble* can't find them.

You can gain a brief escape from complaints if your switchboard is continually jammed, or the *right* person is always unavailable. But sooner or later the customer will win – perhaps in dramatic form, when you find yourself profiled on TV or the company chairman is asked embarrassing questions at the AGM or (for public sector organisations) when someone writes to their MP. What is more, the harder you make it for the complaint to get through, the more steamed up and the less inclined to compromise the customer will be when they do find you.

Customers who can't complain to you and get problems fixed go on to tell everyone else how bad you are instead.



TURNING COMPLAINTS INTO OPPORTUNITIES

BENEFITS OF COMPLAINTS



Complaints are an opportunity to delight a customer and correct problems that might be causing *Silent Complainers*. Make it easy for customers to complain by, for example, handing out postage-paid feedback forms and setting up a toll-free phone line. In this way you'll be able to correct problems before you develop a reputation for bad service.

Ideally, the same complaint should only occur once because its cause should be eliminated after it arises by:

- Improving procedures
- Eliminating product defects
- Improving customer service behaviour
- Setting higher performance standards
- Focusing the organisation more on customers' needs



TURNING COMPLAINTS INTO OPPORTUNITIES

CUSTOMER NEEDS



When customers have their complaints resolved satisfactorily, they are more inclined to become stronger long-term customers than people who have not had cause to complain. The reason is simple: they are won over by the care and attention given to their complaint. Often, organisations have their first chance to show a customer their exceptional care when they handle a complaint, and customers are impressed at how this contrasts with the indifference and hostility they find at other companies.

Most customers who have a complaint about something your organisation has done, or failed to do, simply want the matter put right. In the case of a purchase that has in some way gone wrong, they also want the reassurance that they did not make a bad decision in the first place.

Most customers only become irritated, angry or even abusive when their initial attempts to get the matter put right have led them nowhere.

TURNING COMPLAINTS INTO OPPORTUNITIES



REMOVING COMMON CAUSES OF COMPLAINTS

Here are some common causes of complaints. Do they arise in your organisation? What can you personally, and the organisation as a whole, do to prevent them recurring?

- **Products or services that don't live up to the purchaser's expectations.** Have customers been sold the wrong thing, or did the marketing materials inflate the customer's expectations in a way that the product could not support?
- **Inflexibility.** Especially regarding when and how services are delivered to the customer. Do you require customers to take a day's holiday so you can deliver to them? Can you rush through a short-notice delivery for your best customer once in a while?
- **Mistakes.** Mistakes will always happen, but some organisations don't plan enough time to do things correctly, so they often go wrong.
- **Poor external communications.** Can customers easily reach someone who can help?
- **Poor internal communications.** Communication breakdowns create the impression that nobody knows nor cares what they are doing.
- **Delays.** Meet the deadlines you promise customers.
- **Unprofessional behaviour.** Do team members appear rude or indifferent? Perhaps they're just too busy, but customers won't realise that.

TURNING COMPLAINTS INTO OPPORTUNITIES

HANDLING COMPLAINTS



DO:

- ✓ Always respond promptly and helpfully.
- ✓ Identify yourself and take responsibility for solving the customer's problem. If you can't help them directly, take responsibility for helping them find the right person in the organisation and for making sure that person responds. Never use the blocking excuse that 'It's not my job/my department'. Customer service is everyone's department.
- ✓ Ask for the facts – check that you've heard them accurately – and try not to jump to conclusions before you have all the information.
- ✓ Find out how customers would like their complaint resolved. Some might want a refund, others might just want to register their concern.

TURNING COMPLAINTS INTO OPPORTUNITIES

HANDLING COMPLAINTS



DO:

- ✓ Admit mistakes and apologise for them. Resist the urge to blame other departments or the computer or *company policy*. Let the customer go on believing that he or she is dealing with one, unified organisation and not a medieval battleground of warring fiefdoms!
- ✓ Avoid technical or professional jargon, or references to other departments by initials that are meaningless to outsiders. Clear, plain English is the basis of successful communication.
- ✓ Only make promises about matters on which **you** personally can deliver.
- ✓ Reassure the customer about the qualities of the product or service your organisation provides once the problem has been sorted out. (This is made much easier and more credible by the excellent manner in which you have just dealt with the complaint!)
- ✓ Share what you learn with your colleagues about how to improve the service you offer.

TURNING COMPLAINTS INTO OPPORTUNITIES

HANDLING COMPLAINTS



DON'T:

- ✗ Get defensive or argue about complaints. Agree that the problem exists and put yourself on their side: 'Let's see what we can do to sort this out'. Politely obtain the customer's name – and use it.
- ✗ Make the customer repeat their complaint. If you have to transfer their complaint to someone else, either in person or on the phone, show the customer you've been listening by summarising the problem for your colleague.
- ✗ Leave customers waiting in the office or holding on the phone too long. Keep them informed of what you are doing, and get someone to call them back if nobody can help now.
- ✗ Tell them what you can't do for them; emphasise what you can do.
- ✗ Let reasonable complaints escalate into life-and-death dramas.

TURNING COMPLAINTS INTO OPPORTUNITIES

ANGRY CUSTOMERS



Customers depend on your business to deliver products or services they need and sometimes they will get angry if mistakes occur. They might feel they have wasted their time or money, or might have missed an important deadline (such as a birthday if they bought a present from you) because of your product or service failure. They might experience frustration reporting the complaint to you if they're put on hold for a long time, or they're passed around the organisation endlessly.

You need to address two different problems:

- What went wrong
- How the customer feels about what went wrong

You'll need to show the customer that you are listening and sympathetic to how they feel before you can address what went wrong.

TURNING COMPLAINTS INTO OPPORTUNITIES



ANGRY CUSTOMERS

HOW TO DEFUSE CUSTOMERS

- Give the customer space to let off steam before you try to steer them towards a discussion of the facts – they're probably more anxious about the situation than you are. They might have had previous enquiries mishandled.
- Don't take it personally; usually it's the company that they are angry with – and as far as the customer is concerned, you are the company. They don't know you as the nice person your family and friends are familiar with.
- If the customer is abusive and you can't steer the conversation onto how you can solve the problem, consider seeking help from a senior colleague.
- If the customer won't calm down and they've caught you unprepared, agree to look into the problem and tell them when you'll call or e-mail them. The customer will have time to cool down, and you will have time to formulate a response.
- Try to keep a calm tone of voice, but if abuse persists pass the customer to a senior colleague, or suggest they contact an area manager or head office if you can't help them any further. Demonstrate confidence by giving them the contact details they need.

TURNING COMPLAINTS INTO OPPORTUNITIES



ANGRY CUSTOMERS

IS THE CUSTOMER ALWAYS RIGHT?

It's an old saying in customer service circles that the customer is always right, but is it really true?

- Frustrated customers will embellish their stories about bad service. Ask for specific details when they make a claim about bad service, so you can clarify what's really gone wrong.
- Is it right that customers can become abusive and the company's representatives must listen to it? Staff need to know they have the management's full backing in being assertive when handling abusive complaints, and are at liberty to ask the customers to leave if they can't be calmed down.
- Some customers are so angry that nothing you can do will satisfy them.

A tiny proportion of customers cannot be satisfied, and companies must be prepared to lose these customers. If a customer can't be helped by your business, both the customer and your business are better off if the customer goes elsewhere.

TURNING COMPLAINTS INTO OPPORTUNITIES

ANGRY CUSTOMERS

STRESS



An uncomfortable side effect of dealing with angry customers is that their anger often creates stress for the person on the receiving end. Persistent stress can harm your health so it is well worth learning how to manage any stress you experience. It will help you to stay confident and to deal more effectively with the situation – and it will leave you feeling better afterwards.

To alleviate stress:

- Talk through the problem calls with a colleague or friend
- After handling a difficult customer, take a moment or two to unwind; don't rush straight into the next angry customer!
- Look after your health, with sensible exercise and eating habits
- Learn breathing exercises that will calm your stress levels





EMPOWERING GREAT CUSTOMER SERVICE

EMPOWERING GREAT CUSTOMER SERVICE

EVERYONE PLAYS A ROLE



You can empower the organisation to deliver great customer service:

- Team members throughout the company are linked in a chain that ultimately serves the customer
- Team members at all levels have information that will help colleagues perform their jobs or satisfy customers better
- A good customer service reputation is the result of lots of small improvements in how everyone does their job and not one sudden transformation
- By delivering great service you set a good example for other team members



EMPOWERING GREAT CUSTOMER SERVICE

EVERYONE PLAYS A ROLE



Team managers should:

- Clearly communicate the organisation's and the team's strategy and priorities
- Empower team members to be flexible in helping customers, such as by offering discounts to compensate mistakes or by agreeing unusually quick (but realistic) turnarounds for important customers on a deadline
- Ensure the lessons from customer complaints are communicated throughout the team so that products, processes and customer service can be improved
- Recognise and reward great customer service within the team
- Offer feedback and training when customer service levels fall short
- Ensure that administrative procedures don't sabotage the team's efforts to be responsive to customers

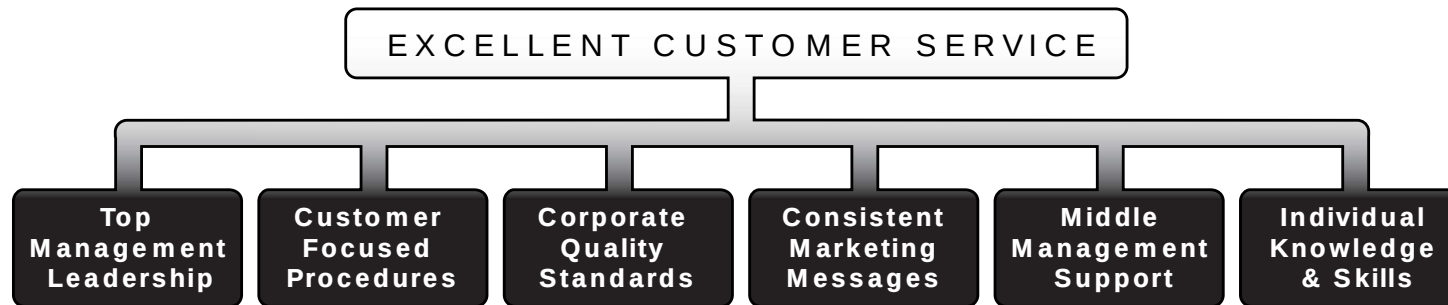
EMPOWERING GREAT CUSTOMER SERVICE

CORPORATE CULTURE



Good customer service reflects the whole corporate culture.

Good customer service is based upon not just the knowledge and skills of the individual but also upon the way that the organisation as a whole, from top management downwards, pulls in the same direction and presents a clear, positive message to customers.



EMPOWERING GREAT CUSTOMER SERVICE



INTERNAL CUSTOMERS

INTERNAL NETWORK MAPPING

Whether or not you deal with the organisation's external customers, your colleagues are your internal customers. They depend on your responsiveness and quality to deliver great service to their colleagues or the external paying customer.

It's helpful to think of your customer service network as consisting of a series of inputs and outputs, with yourself at the centre. Various things get passed to you (such as information, work tasks and queries) and you in turn pass your work or communications to others in the chain, or straight to the external customer.

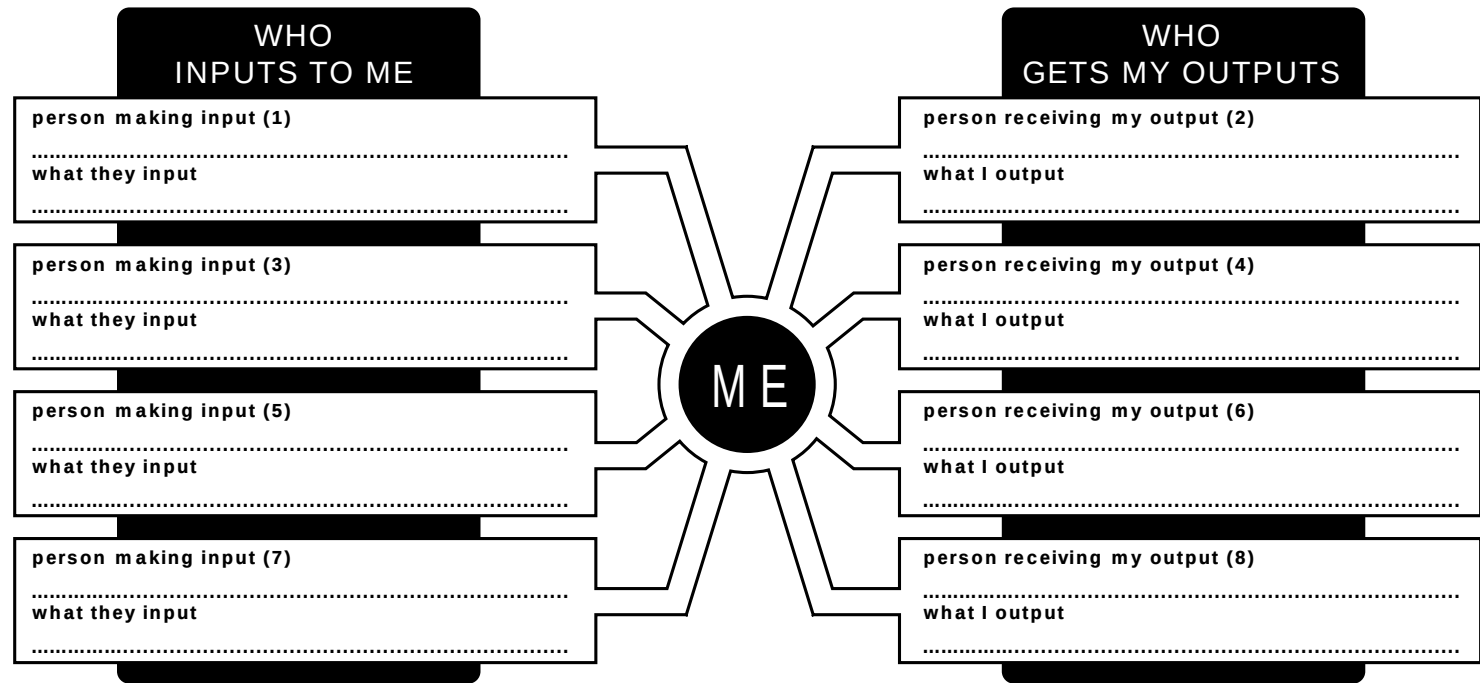
Use the chart over the page to list who is in your internal customer network – and what it is that gets passed along the service chain. Try to write in the names of the people you deal with. Only use a job title or general description if you don't know their names or if there are a lot of people in the same category (like *sales assistants*). Note that there is space for up to four inputs and four outputs. You can adjust these numbers to match your own particular situation.

EMPOWERING GREAT CUSTOMER SERVICE



INTERNAL CUSTOMERS

INTERNAL NETWORK MAPPING



EMPOWERING GREAT CUSTOMER SERVICE



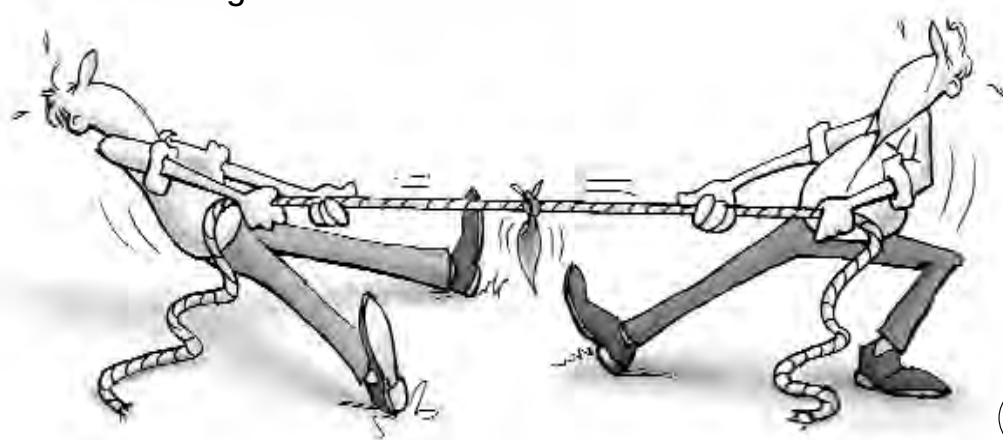
INTERNAL CUSTOMERS

WHEN THE CHAIN WEAKENS

The internal customer chain works when everyone pulls in the same direction and there are no weak links. But it's bad news when *us and them* barriers start to develop, such as:

- Between the sections in a process chain (where different people handle different stages of a document, for instance)
- Between head office and branches
- Between sales and marketing
- Between marketing and manufacturing

This section of the book explores how you can play a positive role in giving your colleagues good internal customer service – and also how you can encourage them to do the same for you.



EMPOWERING GREAT CUSTOMER SERVICE



INTERNAL CUSTOMERS



EXERCISE

Even though you might want to change things, you and your colleagues don't start with a clean sheet. There are bound to have been (perhaps unavoidable) problems in the past which might have left a feeling of unease or distrust.

Take ten minutes to complete the *niggles* exercise that follows to get any accumulated irritations off your chest.

1. Use the *Niggles Sheet* (see page 76) to make brief notes about any incidents that you personally have experienced where colleagues have failed to give you the kind of service that you should get as their internal customer – incidents that have made it harder for you to do your job properly:
 - Things you would prefer them not to do
 - Things they don't do, but you wish they would
 - Things that you would like them to do differently

EMPOWERING GREAT CUSTOMER SERVICE



INTERNAL CUSTOMERS



EXERCISE (Cont'd)

2. If possible, find someone else to complete the exercise so you can compare lists. Ideally this should be someone who doesn't work in your team because you want to get a fresh perspective on your niggles.
 - Are you suffering from similar problems?
 - How much are the problems a matter of where you happen to be standing at the time?
 - Do the problems come from a difference of opinion over the right way to do things?
 - Are the problems being magnified because you don't know the individuals you are dealing with (especially over the telephone) so you tend to assume the worst of them?
 - Are there misunderstandings because you don't really know what other departments do (or are allowed to do)?
 - Which items on your lists can (at least in theory) be improved?
 - What would be the benefits to the organisation and yourself if these improvements are made?
 - What would it take to achieve each of those improvements?

YOUR PERSONAL NIGGLES SHEET



Who failed to treat you as their internal customer?	What did they do, do unsatisfactorily or not do at all?	Is it improvable?	What could be the benefits from any improvement?	What would it take to achieve these improvements?

EMPOWERING GREAT CUSTOMER SERVICE



INTERNAL CUSTOMERS

STRENGTHENING THE CHAIN

Now you've thought about how the chain weakens, let's think about how it can be strengthened. Look at your table of internal customers and consider how you can improve your outputs.

It's not the blockbuster projects, but close attention to small details that adds up to quality of service. For instance:

- Responding to people without being chased by them (as easy as putting a date in your diary and placing a phone call; takes maybe five minutes)
- Keeping colleagues informed about what's happening on a project (as simple as copying them on an e-mail, yet so effective)
- Arriving on time for meetings (so others don't waste time waiting for you)

Think about the improvements you could ask your colleagues to give you in their service. Point out how the organisation benefits and how getting it right first time means they have less work to do in the long run, not more! Sometimes there are good reasons why work can't be delivered to your ideal specification, but talking to your colleagues to find out why will at least stop you blaming them for inefficiency and improve your working relationship.

EMPOWERING GREAT CUSTOMER SERVICE



INTERNAL CUSTOMERS

PASSING ON WORK

This has probably already surfaced as a source of problems in your internal network. Even if it hasn't, it is such a central element of the internal customer chain that it is worth listing some guidelines for giving (and receiving) a five-star service when you pass work on to your colleagues.

You can offer better service by:

- Negotiating deadlines and the handover of work, and not just *dumping it on someone's desk*
- Delegating full responsibility for solving a problem so that your colleague can decide the best way to handle it (don't just dictate a series of tasks you've identified as the solution)
- Being prompt in forwarding the work so that your colleague has as much time as possible to process it
- Indicating clearly and truthfully how urgent or important the work is so that your colleague can prioritise his or her workload

EMPOWERING GREAT CUSTOMER SERVICE



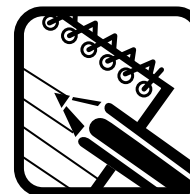
INTERNAL CUSTOMERS

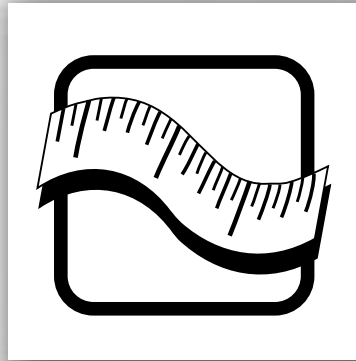
PASSING ON WORK (Cont'd)

You can offer better service by:

- Making sure all the necessary information is sent and can be easily understood, so that people don't have to keep coming back to you for clarification
- Making sure everything is correct before you send it on (if you inherit errors from someone else, make sure they're fixed before the work goes further)
- Making sure work is sent to someone who can help, so it isn't delayed while it is repeatedly forwarded around the company (this happens especially with e-mail enquiries)
- Making realistic promises to others about response times, so that the recipient of the work isn't put under unreasonable pressure
- Offering to help with any further information or clarification your colleague needs

NOTES

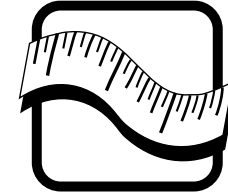




MEASURING CUSTOMER SERVICE

MEASURING CUSTOMER SERVICE

SETTING STANDARDS



Standards offer a yardstick with which to measure the quality of customer service and give team members guidance on how particular elements of customer service are to be delivered day to day. Examples might include:

- Telephones must be answered within two rings
- E-mails must be acted upon within 24 hours
- Goods must be despatched within four hours
- Customers must not be left queuing for more than five minutes

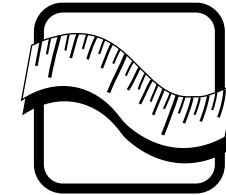
What easily-measurable standards could you use in your business?

What standards do your direct competitors achieve, and what standards have customers come to expect from their dealings with other businesses?



MEASURING CUSTOMER SERVICE

USING INTERNAL INDICATORS

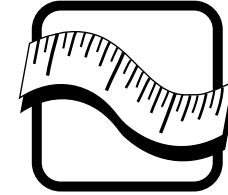


Not everything customers care about can be measured directly, but sometimes you can use information you have in your business to track progress.

What customer cares about	How you might measure it
Goods must be packaged well to avoid damage in transit	Broken returns
The business will get everything right first time	Complaints received
Effectiveness of the product or service you sell	Proportion of customers that buy again from you
Goods meet the customer's expectations	Number of returns under a no-quibbles money-back guarantee
Your truck drivers are good road users and don't intimidate others	Number of calls on your 'how's my driving' toll-free phone line and how many are positive

MEASURING CUSTOMER SERVICE

STANDARDS AREN'T ENOUGH



Using standards and tracking company information can be helpful when you discover a particular problem in the company, perhaps because customers complain that you're always late or because the proportion of returns rockets.

But these standards are weak proxies for what you must really discover: customer satisfaction.

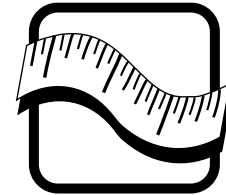
The risk is that by concentrating on a few easily-measurable yardsticks, the business ignores other things that matter at least as much and ends up with unhappy customers. The system fails, for example, if:

- A team member stops serving a customer in front of them because they must catch a phone before the second ring. The customer on the phone might be getting great service, but the one who's left waiting and is already mid-way through a transaction isn't.
- A package is despatched within four hours to meet the deadline, but it's incomplete.

Team members need to be empowered to respond to customers with common sense: to prioritise and take decisions about how to best satisfy customers.

MEASURING CUSTOMER SERVICE

CUSTOMER SATISFACTION



Ready for the obvious? The best way to measure customer satisfaction is to ask customers how happy they are with your service. You can do this:

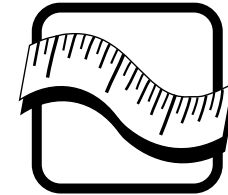
- By offering a freephone number they can call to recognise great service and complain about bad service
- By making customer service surveys easily available, quick to complete and free for them to post
- By putting a questionnaire on your website
- By following up on sales with a courtesy call to see how the customer is enjoying their purchase

Don't expect customers to invest a lot of time or money in helping you, and don't forget that the complaints might be more valuable than the praise because they help you to improve your service.

Customers all have different expectations, and exceeding these is the key to securing repeat business. One customer might have high standards and consider your service merely good, while another might have lower expectations and consider it *excellent*. The customers you delight are the ones that come back. Your goal should be to delight all your customers.

MEASURING CUSTOMER SERVICE

MYSTERY SHOPPER PROGRAMMES

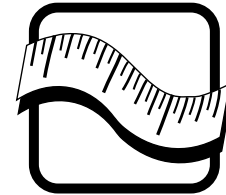


Nearly every business can operate a mystery shopper programme, where researchers impersonate customers to gauge the level of service they receive. It can be run through any communication channel the company uses to deal with customers, such as by phone, in person or by e-mail. If you have a big organisation, the shoppers can be employees from other regions of the country, so they know the standards the company sets for customer satisfaction.

It's essential that team members don't know that the *customer* is assessing them on behalf of the company. Team members will feel uncomfortable if they think the survey is there to police them and spy on them, but they will be happier if great service is recognised and rewarded.

MEASURING CUSTOMER SERVICE

MYSTERY SHOPPER PROGRAMMES



The advantage of running a mystery shopper programme is that it standardises the *soft factors* in customer service. A mystery shopper programme enables you to compare (for example) how friendly sales assistants are on a scale from one to five. Different team members, branches and departments can be measured against the same expectations.

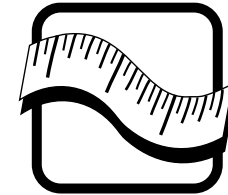
The programme can also feed back in to company training initiatives. It will spot problems that customers might not tell you about.

Remember that all customers are different, and a successful mystery shopping trip doesn't guarantee that the next customer in the queue will leave satisfied. You still need to make it easy for customers to tell you how happy they are.



MEASURING CUSTOMER SERVICE

REWARDING TEAM MEMBERS



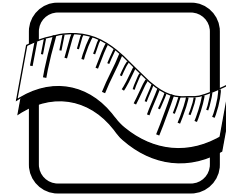
Team members will be motivated by how you reward them. If they're paid a sales commission only, they are being encouraged to make as many sales of high-value items as possible. In some organisations this can lead to customers being dismissed quickly once the sale is in the bag or being mis-sold products.

It's inconsistent for companies to claim they put customer service first, but measure team performance by sales volume alone.

Make sure that your systems measure, recognise and reward great customer service.

MEASURING CUSTOMER SERVICE

REWARDING TEAM MEMBERS



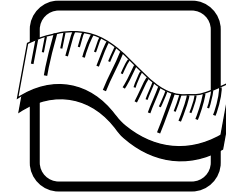
Reward good customer service given to you by colleagues:

- Thank them when they help you achieve your objectives (everyone appreciates recognition for their work)
- Give them great service in return



MEASURING CUSTOMER SERVICE

REWARDING TEAM MEMBERS



CASE STUDY

At UK hi-fi retailer Richer Sounds, customers are given a customer service questionnaire with their receipt. The team member who makes the sale is rewarded with £3 if the customer ticks the box to say the service was excellent but is penalised £1 for service described as *mediocre* and loses £3 if the service was *poor*. Team members earn £5 if customers write a letter of praise about their service. Staff aren't really fined if the balance is negative at the end of the month, although it would be a strong indicator that the team member is having problems and might benefit from extra training or more management support.

The store also runs a telephone survey (where friendliness counts for a quarter of the points) and a mystery shopper scheme, and the scores from all the measurements are compiled into a league table.

The top three shops can choose from a range of prizes, including the use of a luxury car for a month (a Jaguar or a Bentley). In his book *The Richer Way*, company founder Julian Richer says: 'The car is theirs to use as they wish, we pay the petrol and if they can't drive we provide a chauffeur for two days. I don't ask them what they get up to in those cars, but I know they have a lot of fun'.

Individual team members are recognised in a league table which is published in the company's internal magazine.



PERSONAL ACTION PLANNING

PERSONAL ACTION PLANNING

USING WHAT YOU HAVE LEARNED



Although it is sometimes interesting to learn new things just for their own sake, the pay-offs from a book like this one only come when you start to use your new knowledge and new skills in your day-to-day work. This is especially true of skills, which need to be practised regularly so that they become second nature, rather than something you have to think about doing deliberately.

So, are you now going out there to transform the way your organisation deals with customers? When you and the majority of your colleagues all start to make even small improvements in the quality of internal and external customer service, the cumulative impact soon becomes apparent.

Remember how you personally and the organisation as a whole benefit from great customer service.

PERSONAL ACTION PLANNING

REVIEW & PLAN



Here you can look back over the main themes of this book to review what you have learned – and plan what you are going to do with it all.

Issues discussed in this book include:

- Why customer service matters
- How to delight customers
- How to communicate effectively with customers
- How to handle complaints from customers
- Problems that arise within an organisation's internal customer chain
- How to co-operate better with colleagues
- How to empower customer service in the organisation
- How to measure and reward great customer service

Skim through the book and pinpoint anything which you feel you could use in your job, either now or if other things changed to make it possible. Be optimistic – go for it!

Remember, the secret is in attention to detail.

Make a list of the action points.

PERSONAL ACTION PLANNING

OVERCOMING OBSTACLES



If you've identified improvements you can make straight away, well done. You can start transforming your organisation now.

If you've identified improvements that will require change before you can action them, start thinking about how to effect the changes. Think about:

- What is getting in the way of making the improvements
- Whether these barriers are more perceived than real
- Why these barriers exist
- Whether you can get around an obstacle
- Whether you can remove it
- Whether a colleague can help you tackle it, or is able to remove it entirely
- Whether somebody else is in a better position than you to action the improvement
- Who will benefit from the improvements, and how they can help them come about

You might find it helpful to discuss your ideas with colleagues. Winning their enthusiasm for the changes will make it easier to implement them and others will often have ideas that help you make things happen.



APPENDIX: NOTES FOR TRAINERS

APPENDIX: NOTES FOR TRAINERS



WORKSHOPS

The contents of this book can be readily adapted to provide a one-day trainer-led workshop. The individual exercises and tasks in the book can be easily employed by the trainer in small groups and a timetable plan for a one-day workshop follows:

Session no. & duration	Cumulative elapsed time	Session content
1. 05	05	Presenter: Introduction to the day
2. 10	15	Presentation: 'Why customer service matters'
3. 20	35	Exercise: 'Lifetime value of a customer' and group discussion of results
4. 40	1-15	Exercise: 'When you were the customer ...'; and group discussion: 'What is customer service about?'
5. 15	1-30	Presentation: 'What is different about good service?'
20	1-50	Tea/coffee break
6. 25	2-15	Group discussion: 'How can we turn complaints into opportunities for good customer service?'
7. 40	2-55	Exercise: 'Communications I depend on'; discussion on clear written communications, and exercise calculating the 'Readability Index'
8. 55	3-50	Lunch

APPENDIX: NOTES FOR TRAINERS

WORKSHOPS



Session no. & duration	Cumulative elapsed time	Session content
9. 40	4-30	Exercise on 'listening skills'
10. 60	5-30	Exercise on 'internal customer mapping' and group discussion on improving service offered to colleagues
11. 20	5-50	Tea/coffee break
12. 20	6-10	Discussion: 'How satisfied are our customers and how can we measure improvements?'
13. 20	6-30	Customer service skills: a summary, plus questions
14. 20	6-50	Personal action planning
15. 05	6-55	Close of workshop

APPENDIX: NOTES FOR TRAINERS



WORKSHOPS

Objectives of a Customer Service Skills Workshop:

1. To give team members an understanding of why customer service matters and how they can personally make a difference.
2. To ensure a common base level of competence in customer service skills by all employees. These skills include:
 - Listening
 - Communications, especially the use of clear English
 - Effective passing on of work to colleagues
 - Handling complaints constructively
3. To reinforce understanding of who each team member's external customers are and how they can be served better.
4. To reinforce understanding of who each team member's internal customers are, and how they can co-operate better.
5. To encourage constructive problem-solving through prompt personal action by every employee.

APPENDIX: NOTES FOR TRAINERS



WORKSHOPS

Notes on running the workshop:

You will need one copy of this book for each participant to use as a workbook during the course. Your presentation will benefit if you prepare a number of Powerpoint slides beforehand, to cover the key points you will be discussing. You will probably also want to customise the discussions and activities, so draw upon examples that are specific to your own organisation.

Prepare and rehearse ahead of time. Your credibility is greatly enhanced when you can run the workshop without constant reference to notes or prompt cards – but do keep these for emergencies (even the most experienced presenter can dry up sometimes!).

The steps you should follow when running each stage of the workshop are:

- Explain the purpose of the exercise/discussion
- Direct participants to the relevant part of the book
- Explain the steps the participants should follow
- Debrief each session, especially drawing out points that help participants to transfer ideas back into their work
- Bridge to the next stage

APPENDIX: NOTES FOR TRAINERS



WORKSHOPS

Notes on running the workshop (continued):

It is very important that the trainer's choice of language, tone of voice and body language all convey a clear commitment to the purposes of the workshop. If you've got reservations about anything, sort it out before you get in front of a workshop group.

Be prepared to adjust to differences of experience in your audience. Be sensitive to indications of different learning styles and varying depths of work experience among your audience. The trainer's task lies in creating opportunities for people to learn (for themselves) and to internalise new ways of doing things, rather than simply teaching *right answers*. In customer service there are no right answers anyway, because you can never predict all the questions customers might put to the team!

When you are conducting group sessions it is always better to go round the group randomly (instead of *creeping death* where you pick on people in order) asking for comments or answers to questions. Encourage other participants to correct or expand on answers. Use comments and answers to questions as a trigger to discuss the implications for customer service. Encourage people to think for themselves about the application of the general point to their specific jobs.

APPENDIX: NOTES FOR TRAINERS



WORKSHOPS

Notes on running the workshop (continued):

You might find it helpful to use a whiteboard for writing up participants' ideas. It helps to focus attention on what's being discussed, and also marks a clear transition to the next topic when it's wiped.

Remember that the average attention span without a change of activity (such as a change from listening to doing) is only 20 minutes.

Also remember that 80% of a lecture is forgotten within 24 hours, unless it is reinforced by other training activities. Encouraging participants to read and refer to this book will help to reinforce the messages that come out in your workshop.

Lastly, don't forget to emphasise the very important message that quality improvements come, not from a few great leaps forward, but from hundreds or thousands of small improvements of the kind that your audience can themselves make.

SUGGESTED FURTHER READING



- Julian Richer, *The Richer Way*, Julian Richer
Julian Richer reveals how putting people first has enabled him to build 'Richer Sounds', a business which entered the Guinness Book of Records for having the most profitable retail space.
- Thomas K. Connellan, *Inside the Magic Kingdom: Seven Keys to Disney's Success*, Bard Press. An entertaining story that reveals how attention to detail and customer service are part of everybody's job at Disney's theme parks.
- Stephen C. Lundin, Harry Paul and John Christensen, *Fish!*, Hodder & Stoughton
Subtitled 'a remarkable way to boost morale and improve results', the book uses a story about a local fish market to show how poor internal relations in a large company can be transformed.
- Derek Williams, *3-Dimensional Care*, self-published, www.thewowawards.com
Extensive coverage of customer care thinking by the founder of the WOW! Awards for customer service, supported by the author's own 'back to the floor' investigations and example documents from leading customer-focused businesses.

SUGGESTED FURTHER READING



In the same series as this book:

- Mike Applegarth, Adrian Guttridge and Keith Posner, *The E-Customer Care Pocketbook*, Management Pocketbooks
This book shows how internet companies, call centres and other remote service providers can build good relationships with customers.
- Angelena Boden, *The Handling Complaints Pocketbook*, Management Pocketbooks
Deals extensively with managing emotions when taking complaints, and also addresses the systems needed to manage them effectively.
- Max A Eggert, *The Assertiveness Pocketbook*, Management Pocketbooks
If you struggle to cope with angry customers, or need to negotiate with customers extensively, this book helps to build your confidence.

About the Authors

The late Tony Newby BA MA

Tony wrote the first edition of this popular guide to customer service in 1991, drawing on his extensive experience consulting and training in multi-national and growing companies, as well as within local and central government. These assignments involved creating and delivering bespoke training courses, covering topics as diverse as culture change, assertiveness, creativity, effective listening, computer skills and customer service quality. His books on management training topics have been published in the UK and the USA. The book was reprinted in 1995, 1997, 1998, 1999 and 2000.



Sean McManus BSc

In 2002 the book was revised and updated by Sean McManus, who holds a BSc in International Business and German and whose magazine contributions have appeared in Marketing Week, Customer Loyalty Today and Business 2.0 among others. He wrote Small Business Websites That Work (www.sbwtw.com) and co-wrote Quick Answers to Web Marketing Questions. He can be contacted through his website at www.sean.co.uk.



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